DE–6844 **11**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION,
DECEMBER 2013.

BUSINESS COMMUNICATION

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following questions.

1. State the functions of a business letter.

2. What factors should be borne in mind while drafting collection letters?

3. Prepare a circular letter announcing introduction of a new partner.

4. A limited company invited application for the post of Accounts officer. Write a suitable Application letter.

5. What are the guidelines to be followed in drafting status Enquiry letters?

6. What are minutes? Explain the different kinds of minutes.

7. State the various points to be borne in mind while writing complaint letters.

8. Write an Enquiry letter from M/s Prabhu Trading Company, Madurai to Saran India Limited, Chennai for their latest catalogue and the terms and conditions to trade to become an agent of the above company.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Explain the layout of a business letter by giving a model letter.

10. Explain the important principles to be followed in the preparation of business reports.

11. Write a letter to your Banker requesting them to sanction education loan.

12. Place an order to a rainy goods manufacturing company for 50 umbrellas and 100 rain coats. Draft a reply stating that the goods will be supplied only after one month.

13. Paramount fancy stores, chennai have not paid long overdue bills inspite of repeated reminders. Write on behalf of Goodwill stores, Trichy threatening to take legal action if the bill is not paid within 4 weeks.

14. Draft a specimen speech of a chairman to be delivered in a statutory meeting.

15. Explain the different types of Business letters.

DE–6845 **12**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

BASIC FINANCIAL ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the different types of accounts and their accounting rules.

2. Explain the advantages of accounting.

3. On March 10th A sold goods to B and drawn a Bill at three months for Rs. 800. Which B accepts immediately and returns it to A. The Bill is honoured on the due date. Pass entries in the books of both A and B.

4. From the following particulars prepare Receipts and payments A/c of Mumbai sports club for the year ending 31.12.2008.

	Rs.		Rs.
Cash in hand (opening)	100	Rent paid	400
Cash at bank (opening)	500	General expenses	210
Subscription received	3,300	Postal expenses and stationery	70
Donation received	260	Miscellaneous expenses	30
Investment purchased	1,000	Cash (closing balance)	?

5. X and Y entered into Joint venture to sell a consignment of timber sharing profits and losses equally. X provides timber from stock at mutually agreed value of Rs. 50,000. He pays expenses amounting to Rs. 2,500. Y incurs

further expenses on cartage, storage and cooli charges of Rs. 6,500 and receives cash for sales Rs. 30,000. He also takes over goods to the value of Rs. 10,000 to his own use. At the close X takes over the balance stock in hand which is valued at Rs. 11,000.

Pass Journal Entries to record the above transactions in the books of X.

6. From the following information find out the credit sales :

	Rs.
Cash received from debtors	53,000
Discount allowed to them	800
Return inwards	1,500
Balance of debtors on 1st Jan. 2006	10,000
Balance of debtors on 31st Dec. 2006	9,500
Bills receivable from debtors	13,000
Bad debts during 2006	700
Bills receivable dishonoured	950

7. In the General ledger of Dinesh Company Ltd., prepare sales ledger Adjustment from the following particulars.

		Rs.		Rs.
1984 Jan. 1	Balance of debtors	80,000	Return inward	17,500
	Credit purchases	45,000	Return outward	6,000
Dec. 31	Credit sales	1,96,000	Rebate to debtors	5,500
	Cash from debtors	1,56,000	Bad debts	9,000
	Allowed discount	4,000	B/R dishonoured	7,500
	Bills received	30,000		

8. On 1st January 2001 a second hand machine was purchased for Rs. 58,000 and spent Rs. 2,000 on its erection. On 1st July 2003. This machine was sold for Rs. 28,600 prepare the machinery account for the first 3 years according to the written down value taking the rate of depreciation at 10% p.a.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. From the following trial balance of Evergreen and Company prepare Trading and profit and loss account and Balance Sheet.

Trial balance as on 31.12.2005

Particulars	Debit Rs.	Credit Rs.
Cash in hand	2,400	
Purchases	2,40,000	
Stock on 1st January 2005	70,000	
Debtors	1,00,000	
Plant and machinery	1,20,000	
Furniture	30,000	
Bills receivable	40,000	
Rent and taxes	20,000	
Wages	32,000	
Salaries	37,600	
Capital		2,00,000
Bills payable		44,000
Creditors		48,000
Sales		4,00,000
	6,92,000	6,92,000

Additional information :

(a) Closing stock as on 31st December 2006 Rs. 50,000.

(b) Outstanding wages Rs. 5,000.

(c) Depreciation on plant and machinery at 10 percent and furniture at 5 percent.

10. A partner has withdrawn the sums of money during the year ending 30th June 1979 :

	Rs.		Rs.
January 15	500	April 5	800
February 10	400	May 20	1,000
March 12	700	June 18	900

Interest is to be charged at 10% per annum. Find out the average due date. Calculate the interest on drawings.

11. Balu maintains his books of account on single entry system. His books provide the information given below :

Particulars	01.04.2001	31.03.2002
	Rs.	Rs.
Furniture	200	200
Stock	2,800	3,050
Sundry debtors	2,100	3,400
Cash	150	200
Sundry creditors	1,750	1,900
Bills receivable	–	300
Loan taken	–	500
Investments	–	1,000

His drawings during the year were Rs. 500 Depreciate furniture by 10% and make a provision for doubtful debts @ 10% on debtors. Ascertain the profit or loss for the year.

12. Receipts and payments A/c of Chennai sports club for the year ending 31.12.2008 is given below. Prepare its Income and Expenditure A/c :

Receipts and Payments A/c for the year ending 31.12.2008

Receipts	Rs.	Payments	Rs.
To Balance b/d	1,125	By Magazines	750
To Subscriptions	2,900	By Rent	250
To Competition fund	750	By Salaries	1,800
To Life membership subscription	1,000	By Office expenditure	1,200
To Entrance fees	100	By Sports equipments	1,150
To Building donations	1,500	By Competition expenses	450
To Sale of journals	50	By Balance c/d	1,825
	7,425		7,425

Outstanding subscription as on 31.12.2007 was Rs. 450; o/s subscription as on 31.12.2008 was Rs. 400; the subscription received includes Rs. 100 received for 2009 sports equipment worth Rs. 550 on 31.12.2007. It's value on 31.12.2008 was Rs. 1,090. Of the office expenses Rs. 150 relate to 2007 and Rs. 200 relate to 2008 is still payable competition fund is treated as capital receipts.

13. Give model journal Entries in respect of consignment transactions in the books of consignor and consignee.

14. Vimal Mills Ltd. sent 100 pieces of Lal Garments House of Delhi on consignment basis the consignees are entitled to receive 5 percent commission plus expenses. The cost of Vimal Mills Ltd is Rs. 200 per suiting. Lal Garments House pays following expenses.

    Railways freight Rs. 500

    Go down rent and insurance Rs. 1,000

    Vimal Mills Ltd. draw on the consignees a bill for Rs. 10,000 which is duly accepted subsequently it is discounted for Rs. 9,500. The consignees informed the consignor of the sale of the entire consignment for Rs. 28,500. Show journal entries and ledger accounts in the book of the consignor.

15. The book value of plant and machinery on 1.1.2006 was Rs. 4,00,000. New machinery was purchased on 1.10.2006 for Rs. 20,000 and on 1.7.2007 for Rs. 40,000 on 1.4.2008 a machinery whose book value had been Rs. 60,000 on 1.1.2006 was sold for Rs. 32,000 and the entire amount was credited to profit and loss account depreciation had been charged at 10% p.a. on straight line method. Show the plant and machinery A/c from 1.1.2006 to 31.12.2008.

DE–6846 **13**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

PRINCIPLES OF MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the various functions of management.
2. What are the main features of scientific management?
3. What is man power planning? Explain the various steps in man power planning.
4. Explain the guidelines for effective decision making.
5. Discuss the importance of communication in management.
6. Enumerate the various stages of selection.
7. What do you understand by span of management? Describe the factors determining the optimum spent.
8. Discuss the various steps involved in the process of planning.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Briefly explain the various approaches to the study of management.
10. Distinguish between delegation and decentralisation. Explain the factors that determine the degree of decentralisation.

11. Discuss Maslow's hierarchy of needs theory.

12. Co-ordination is not a distinct managerial function and the exercise of each function includes Co-ordination – Explain the statement.

13. What is departmentation? Explain the bases of departmentation.

14. Explain the various control techniques used in management.

15. Discuss the various theories of leadership in brief.

DE–6847 **14**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

COMPANY LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the characteristics of a joint stock company?

2. Distinguish between transfer and transmission of shares.

3. What is doctrine of Indoor management? State its exceptions.

4. Explain different kinds of resolutions passed in a company meeting.

5. What are the requisites of a valid meeting?

6. What is a statutory report? Mention its contents.

7. Who is a promoter? Discuss his legal position in relation to the company which he promotes.

8. Discuss the rights and liabilities of members.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the powers, duties and liabilities of directors of a company.

10. Explain in detail members voluntary winding up of a company.

11. What is a prospectus? Discuss the consequences of mis-statement in a prospectus.

12. What is memorandum of association? Describe its contents.

13. What are the legal provisions of holding annual general meeting?

14. State the provisions of companies Act, 1956 relating to the alteration of share capital.

15. Explain the duties and powers of a liquidator during compulsory winding up.

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DE–6848 **15**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2013.

MANAGERIAL ECONOMICS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the nature and scope of managerial economics.
2. What are the factors that determine the elasticity of demand?
3. What is shut-down point? Explain with the diagram.
4. What is the relationship between marginal cost and average cost?
5. What is opportunity cost? Discuss.
6. What are the features of a good demand forecasting method?
7. What are the advantages and disadvantages of opinion survey method?
8. How is price determined under monopoly competition?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Distinguish between individual equilibrium and group equilibrium.
10. Discuss the law of diminishing marginal utility.

11. Explain the long-run equilibrium of the firm under perfect competition.

12. Explain the law of production function.

13. Discuss the role of costs, demand and competition in pricing.

14. Explain and illustrate the conditions for the establishment of firm's equilibrium under perfect competition.

15. How is price determined in duopoly?

DE–6849 **21**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2013.

SECRETARIAL PRACTICE

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Why secretary is called as heart of the company? Explain.

2. Explain the secretarial duties relating to allotment of shares.

3. What are the duties of secretary in correction with statutory meeting?

4. What is unclaimed dividend? Explain its treatment towards secretary's point of view.

5. Who is a director of a company? Explain the secretarial procedures for appointment of director.

6. Explain the secretary's duties at the time of preparation of memorandum of association.

7. What is defunct company? Explain the secretary duties regarding it?

8. What are the duties of liquidators at the time of winding up of a company?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the significance of company secretary in a company.

10. What is an allotment of shares? Explain the company secretary position in connection with it.

11. Discuss the points to be discussed at the time of annual general meeting.

12. Write the secretarial procedures for payment of dividends to shareholders.

13. Discuss the various requisites of a valid meeting.

14. Explain briefly the different kinds of shareholder's meeting.

15. Explain the secretarial procedures to be followed before and after winding up of a company.

DE–6850 **22**

DISTANCE EDUCATION

B.B.A. (CS)/ B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2013.

COMMERCIAL LAW

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define the term 'offer'. Explain its legal rules relating to offer.

2. Explain different kinds of contracts.

3. Distinguish between sale and agreement to sell.

4. What is a promissory note? What are its essential elements?

5. Explain the various kinds of partners.

6. What are the merits and de-merits of arbitration?

7. What are the rights and duties of common carrier?

8. Explain the characteristics of a five insurance contract.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What is a Quasi Contracts? Explain.

10. Explain duties and rights of bailor and bailee.

11. What is 'caveat emptor' and state exceptions to it?

12. Distinguish between a bill of exchange and promissory note.

13. What is meant by dissolution of a firm? State its various modes.

14. How do you distinguish between a common carrier and a private carrier? To what extent do railways in India discharge the duties of carriers?

15. Distinguish between an assignment and a nomination in life Insurance.

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DE–6851 **23**

DISTANCE EDUCATION

B.B.A. (CS) / B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2013.

BUSINESS STATISTICS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define the term statistics. Explain its various methods.
2. Write short notes on
   (a) Good Average
   (b) Weighted Arithmetic mean
3. The mean wages of 250 workers in a factory is Rs.95. If the arithmetic mean of 90 workers in one section is Rs.102. Calculate the arithmetic mean of wages for the other section.
4.

S.L No:	1	2	3	4	5	6	7
Weight in Kg:	48	59	67	56	50	60	78

   Find out the median weight of students.
5. Find out the value of mean deviation and its co–efficient from the data given below:
   40,60,35,10,70,80,15,20,30,20
6. From the marks secured by 110 students in section 'A', 110 students in section 'B' of a class, the following measures are obtained.
   Section A $\bar{x} = 36.83$ S.D = 14.8 Mode = 41.67
   Section B $\bar{x} = 37.83$ S.D = 14.8 Mode = 37.07
   Determine which distribution of marks is more skewed.

7. Construct a price index from the following by a simple aggregate method.

Commodities	101	102	103	104	105
Price 2010 (Rs)	30	36	42	48	60
Price 2011 (Rs)	35	39	43	59	75

8. Find the seasonal variation by the ratio to trend method from the data given below

Year	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
2009	86	95	96	99
2010	96	102	104	110
2011	103	108	106	107

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Define Time series. Explain its various components.

10. Calculate Harmonic mean from the following data

Size of items :	1	2	3	4	5
Frequency :	9	6	5	8	2

11. Calculate karl person's co – efficient of skewness for the following data.

28, 15 , 38, 26, 28, 22, 20, 24, 18.

12. Compute the rank correlation co–efficient from the following data.

Series x:	115	109	112	87	98	98	120	100	98	118
Series y:	75	73	85	70	76	65	82	73	68	80

13. Find out the missing item of the following data by binomial expansion method.

Year:	2005	2006	2007	2008	2009	2010
Sales(In tones):	40	49	52	?	73	89

14. Calculate Index number based on

(a) 2000 and

(b) 2002 from the following index number based on 1995.

Year:	1995	1996	1997	1998	1999	2000
Index:	195	200	212	234	248	252
Year:	2001	2002	2003	2004	2005	
Index:	267	275	282	245	300	

15. Compute the trend value for the following data using method of Least Squares.

Year:	2006	2007	2008	2009	2010	2011	2012
Y:	83	60	54	21	22	13	23

DE–6852 **24**

DISTANCE EDUCATION

B.B.A. (C.S.)/B.B.A (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2013

ADVANCED ACCOUNTANCY

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Distinguish branches from departments.
2. What are the adjustments to be made while admitting a partner?
3. Explain the provisions of companies Act 1956 relating to redemption of preference shares.
4. What are the expenses to be deducted from the profits on which managerial remuneration is calculated?
5. A Firm had two Departments Cloth and Readymade garments. The garments were made by the firm itself out of the cloth supplied by the cloth department at its usual selling price. The Opening and Closing stocks (consist of 75% Cloth and 25% other expenses) of readymade department are Rs. 50,000 and 60,000 respectively. Trading A/c of Cloth department of the Current year shows Gross profit Rs.4,00,000, Sales Rs. 22,00,000 and Cloth transferred to readymade department Rs. 3,00,000. In the current year readymade department has earned Gross profit of Rs. 85,000 Gross profit ratio of Cloth department in the last year was 15%. General expenses for the departments Rs. 1,36,000. Prepare General profit and loss A/C.

6. M,N and O are equal partners. On 31.12.94 their position was as follows.

	Rs.		Rs.
M's capital	4,000	Cash	3,000
N's capital	1,200	O's capital	400
		Loss on revaluation	1,800
	5,200		5,200

O becomes insolvent. Close the books of the firm

7. On 30th June 2010. the balance sheet of Sandhya Ltd. stood as follows:

Liabilities	Rs.	Assets	Rs.
Equity share capital	2,50,000	Sundry assets	3,50,000
Preference share capital	1,00,000	Bank	1,25,000
P&L a/c	75,000		
Creditors	50,000		
	4,75,000		4,75,000

On the above date, the preference shares had to be redeemed. For this purpose, 2,000 equity shares of Rs.25 each at Rs.27.50 were issued. Show the journal entries for redemption.

8. The Balance sheet of Kovaln Co.Ltd., is as follows.

Liabilities	Rs.	Assets	Rs.
Equity capital (share of Rs. 10 each)	5,00,000	Goodwill	1,00,000
Creditors	62,000	Land and Buildings	1,62,000
Bank overdraft	73,000	Plant and Machinery	2,07,000
Share premium	50,000	Stock	92,000
		Debtors	74,000
		P&L A/c	50,000
	6,85,000		6,85,000

The company has decided to reduce the share capital by Rs. 5 each on every share and share premium amount. The sum available must be used for writing off goodwill, P & L A/c and to reduce the land by Rs. 42,000, Plant by Rs.67,000, Stock by Rs 33,600 and create provision for bad debts at 100% Show the journal entries and Balance sheet.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. A head office invoices goods to its branch at cost plus 50%. Branch remits all cash received to the head office and all expenses are met by the HO. From the following particulars, prepare necessary ledgers under stock debtors system.

   Stock on 1.1.05 (invoice price) Rs. 15,000; Debtors on 1.1.05 Rs.8,700: Goods invoiced to the branch (cost price) Rs.36,000: Cash Sales Rs.35,000: Cash collected from debtors Rs.29,800: Goods returned by Debtors Rs. 1,500: Expenses at the branch Rs. 6,700: Discount allowed to Customers Rs. 350, Stock on 31.12.05 (invoice price) Rs.6,300. Debtors on 31.12.05. Rs. 7,150.

10. P purchased a truck on hire purchase system for Rs.56,000 payment to be made Rs. 15,000 as down and three installments of Rs. 15,000 each at the end of each year. Rate of interest is charged 5% p.a. Depreciation to be charged at 10% WDV method. P has paid down and first installment but not pay subsequent installments. Seller took possession of Truck, spent Rs 357 as repairs and sold it for Rs. 30,110. Open Ledger Accounts in the books both the parties.

11. A fire occurred in the premises of X ark 31.12.05. from the following particulars ascertain the loss of stock and prepare a claim for insurance: Stock on 1.1.04 Rs. 30,600, Purchases during 2004 Rs. 1,22,000, Sales during 2004 Rs. 1,80,000, Stock as on 31.12.04 Rs. 27,000, Purchases from 1.1.05 to 30.12.05 Rs 1,47,000, Saks from 1.1.05 to 30.12.05 Rs. 1,50,000. The stocks were always valued at 90% of cost. The stock saved is Rs. 18,000. Amount of policy is Rs. 63,000.

12. A and B are partners sharing profits in the ratio of 3:1. Their Balance Sheet stood as under on 31.12.2005.

Liabilities		Rs.	Assets		Rs.
Capital : A	30,000		Stock		10,000
B	20,000	50,000	Prepaid insurance		1,000
Salary due		5,000	Debtors	8,000	
Creditors		40,000	Less : provision	500	7,500
			Cash		18,500
			Machinery		22,000
			Buildings		30,000
			Furniture		6,000
		95,000			95,000

C is admitted as a new partner introducing a capital of Rs.20,000, for his 1/4 th share in future profit. Following revaluations are made :

(a) Stock to be depreciated @5%

(b) Furniture to be depreciated @ 10%

(c) Building is revalued at Rs.45,000

(d) The provision for doubtful debts should be increased to Rs. 1,000.

Prepare Revaluation account and Balance sheet after C's admission.

13. P, Q and R share profits in the ratio of ½, ¼ and ¼. on the date of dissolution their Balance sheet was as follows

Liabilities	Rs.	Assets	Rs.
Creditors	14,000	Sundry assets	40,000
P's capital	10,000		
Q's capital	10,000		
R's capital	6,000		
	40,000		40,000

The assets realized Rs.35,500. Creditors were paid in full. Realisation expenses Rs.1,500. Prepare necessary ledgers to close the books of the firm.

14. Cheran Ltd., has 6% debentures outstanding for Rs. 1,20,000 on 1.1.2004. On that date, the Debenture redemption fund stood at Rs.85,837, represented by 5% Government bonds. The annual installment added to Debenture redemption fund is Rs. 41,272. Interest on sinking find investment for the year 2004 is Rs.4,292. On 31.12.2004, the bank balance before interest is Rs.45,000. On that date the investment is sold at a loss of Rs.837 and the debentures are redeemed at 10% premium. You are required to write the ledger accounts for the above transactions in the company's books.

15. Cholan Ltd. was registered with an authorized capital of Rs.1,50,000 in equity shares of Rs.10 each. The following is the trial balance on 31st March 2006.

Dr	Rs.		Cr. Rs.
Goodwill	2,500	Share capital	40,000
Cash	75	125 debentures	30,000
Bank	3,990	P & L a/c	2,625
Purchases	18,500	Sales	41,500

	Rs.		Rs.
Preliminary expenses	500	Bills payable	3,700
Calla in arrears	750	Creditors	4,000
Premises	30,000	General reserve	2,500
Plant	33,000	Provision for bad debts	350
Interim dividend	3,925		
Opening stock	7,500		
Furniture	720		
Debtors	8,700		
Wages	8,487		
General expenses	683		
Freight and Cartage	1,311		
Salaries	1,450		
Director's fees	573		
Bad debts	211		
Debenture interest	1,800		
	1,24,675		1,24,675

Prepare Profit & Loss Account, Profit & Loss Appropriation A/c and Balance sheet in proper form after making the following adjustments:

(a) Depreciate plant and machinery by 15%

(b) Write off Rs.50 from preliminary expenses

(c) Provide for 6 months interest on debentures

(d) Provide bad debts provision at 5% on sundry debtors.

(e) Provide for income tax at 50%

(f) Stock on 31.3.2006 was Rs. 9,500.

DE–6853 **25**

DISTANCE EDUCATION

B.B.A. (CS)/ B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2013.

CORPORATE FINANCE

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is 'finance function'? What is its scope?

2. What is Over capitalisation? State its causes.

3. What is watered capital? State its effects.

4. What do you mean by Term loan? Explain its features.

5. What is debenture? Explain its significance.

6. Discuss the significance of working capital to a firm.

7. Explain any two concepts of working capital.

8. Discuss the role of financial Manager of a company

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. State briefly the significance of financial management.

10. What is capital structure? State the various determinants of capital structure.

11. State the factors affecting financial planning.

12. Explain the net income approach to capital structure.

13. Explain the various types of working capital.

14. Discuss the different kinds of preference shares.

15. Explain the functions of IDBI.

DE–6854 **31**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A.(CS)Lateral DEGREE EXAMINATION, DECEMBER 2013.

CAPITAL MARKET LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State the characteristics of Indian capital market.

2. What are the objectives of SEBI?

3. Who is share transfer agent? State the role of share transfer agent in securities market

4. Write note on "Merchant Brokers"

5. Briefly explain the need for Securities Contacts (Regulation) Act, 1956.

6. What do you mean by OTCEI? Explain the main objectives of OTCEI.

7. List out the main features of National Stock Exchange.

8. Write note on "Buy-laws in stock exchange"

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the difference between primary and secondary market in India.

10. What are the powers of Central Government in regulating stock exchange?

11. State and explain the different functions of SEBI.

12. Enumerate the main benefits of OTC Exchange?

13. State and discuss the role of capital market for development of Indian economy.

14. Discuss about eligibility conditions for different types of members of stock exchange.

15. List out the regulations and penalty provisions relating to merchant brokers in India.

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DISTANCE EDUCATION

B.B.A. (CS) / B.B.A. (CS) Lateral DEGREE EXAMINATION, DECEMBER 2013

TAX LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is agricultural income? When and how it is integrated?

2. Who is a person under income tax Act?

3. State the residential status of HUF.

4. What do you mean by Allowance? What are the allowances partially taxable?

5. What are the cases for which annual value of house property is not assessed as income from house property?

6. Discuss the general principle of computing business profits.

7. How would you calculate indexed cost of Acquisition?

8. What are the deductions allowed from income from other sources?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What is income? Explain its features.

10. Explain any ten incomes exempted from Tax.

11. What are the perks exempted for all?

12. From the following details of Mr Vivek compute the taxable salary.

    (a) Salary received Rs. 17,800 after deducting TDS Rs. 1,200 and Own contribution to R.P.F Rs. 2,000.

    (b) Dearness Allowance 100% of salary.

    (c) Employer's contribution to R.P.F Rs. 2,000:

    (d) Interest credited on R.P.F @ 9% Rs. 2,250.

    (e) He is provided a furnished free quarter for residential purpose at Kolkatta by his employer (Population more than 25 lakh), The fair rent is Rs. 1,200, Cost of furnitures Rs. 15,000.

    (f) He had two life insurance policies one on his own life for a policy value of Rs. 30,000 on which annual premium paid by his employer is Rs. 3,200, and the other on the life of his wife for a policy value of Rs. 20,000 on which premium paid by him Rs. 1,800.

    (g) Education allowance received for a child Rs.800 p.m.

13. Compute the income from house property from the following information.

Particulars	House A self occupied	House B (9 months Let-out and 3 month vacant)
Municipal value	2,00,000	3,05,000 p.a.
FRV	2,70,000	3,10,000p.a.
Std Rent	Nil	3,07,000 pa.
Actual rent	Nil	2,70,000 for 9 months
Municipal tax on M.Value	10% paid	10% paid
Interest on house loan	15,000	90,000

14. From the following Profit and loss A/c, Calculate business income for the PY 10-11.

Particulars	Rs.	Particulars	Rs.
To Salary	32,000	By Gross profit	1,00,000
To Advertisement	12,000	By Lottery winnings	12,000
To Office expenses	13,000	By Profit on sale of asset	1,000
To Wealth tax	5,000	By Bank deposit interest	2,000
To Donation	2,000		
To Depreciation	3,000		
To Advance Tax	6,000		
To Rent	4,000		
To Car expenses	4,000		
To Provision for bad debts	2,500		
To General Expenses	3,500		
To Net profit	28,000		
	1,15,000		1,15,000

Additional information.

(a) The car is used ¾ for personal work.

(b) General expenses include Rs. 1,000 on charities and Property insurance Rs.500.

(c) Salary includes Rs.2,000 drawn by the proprietor.

15. Mr Kannan held the following investments and incomes during the year ended 31st March 2011.

(a) Rs. 25,000, 10% Central Govt securities

(b) Rs. 15,000, 12% TN Govt securitites

(c) Rs. 20,000, 9% Tax free unlisted securities

(d) 10% Listed securities of Rs. 20,000.

(e) 7% National plan Certificate Rs. 5,000.

(f) Family pension Rs. 60,000.

(g) Rent from letting of building with plant Rs. 56,000. Depreciation on buildings Rs. 6,000. Insurance on buildings Rs. 2,000. Office expenses of buildings Rs.1,000. Repairs to buildings Rs 3,000. Lottery winnings received Rs.35,000 (tax deducted at source Rs. 15,000). Expenses for purchase of lottery tickets Rs. 5,000. Find out his income from other sources.

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DISTANCE EDUCATION

B.B.A. (C.S)/ B.B.A.(C.S. Lateral) DEGREE EXAMINATION, DECEMBER 2013.

ECONOMIC LAWS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the objectives of Foreign Exchange?

2. Explain the investment by non-resident Indians in shares of Indian companies.

3. Write a short on effect of notified order to assume management or control of an industrial undertaking.

4. Write a note on "Non-Resident (External) rupees account".

5. What do you mean by environment pollution? What are its causes?

6. Explain the procedure for seizure and confiscation of essential commodities.

7. Explain the objectives of the MRTP act.

8. What are the features of Non-resident accounts?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the salient features of the environment protection.

10. What are the nature and type of regulation under the act.

11. Explain the type of restrictive trade practice.

12. Describe the procedure for registration of existing industrial undertaking under industrial (Development Regulation) act.

13. Describe how is the supply and distribution of essential commodities undertaken.

14. What are the duties and power of authorized persons? Explain.

15. Explain the provisions of environment protection act in relation to penalties and offences

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DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, DECEMBER 2013.

COST ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State and explain the objectives of material control.

2. Following information relating to a type of raw material is available

   (a) Annual demand 2400 units.

   (b) Unit price Rs. 2.40

   (c) Ordering cost per order Rs. 4

   (d) Storage cost 2% per annum

   (e) Interest rate 10% per annum

   (f) Lead time half month.

   Calculate economic order quantity and total amount of inventory cost in respect of the particular raw material.

3. A worker is paid at 25 paise per hour for completing a work within 8 hours. If he completes the work within 6 hours. Calculate his wages under Halsey plan when the rate of premium is 50%. Also ascertain the effective hourly rate of earning by the workers.

4. Srikar and Co. produces a product through two processes "J" and "K" prepare the process accounts from the following details relating to march 2007.

	Process J	Process K
	Rs.	Rs.
Material	45,000	15,000
Labour	60,000	25,000
Chargeable ex	5,000	10,000

The overheads amounting to Rs. 17,000 are to be apportioned on the basis of labour.

5. The following details pertain to the production department of a factory :

	Rs.
Material consumed	60,000
Direct wages	40,000
Machine hours	50,000
Labour hours worked	25,000
Factory overhead relating to the department	50,000

Calculate overhead absorption rates under different possible methods from the above details.

6. Two components X and y are used as follows :

Minimum usage	50 units per week each
Maximum usage	150 units per week each
Normal usage	100 units per week each

Ordering quantities	X-600 units
	Y-1000 units
Delivery period	X-4 to 6 weeks
	Y-2 to 4 weeks

Maximum reorder period for emergency purchases X : 2 weeks, Y : 2 weeks. Calculate for each component.

(a) Reordering level.

(b) Maximum level.

(c) Minimum level.

(d) Danger level.

7. The accounts of a machine manufacturing company disclose the following information for six months ending 31st December 1982.

	Rs.
Materials used	1,50,000
Direct wages	1,20,000
Factory overheads	30,000
Administrative expenses	15,000

Prepare cost sheet for the half year and calculate the price which the company should quote for the manufacture of a machine requiring materials valued at Rs. 12.50 and expenditure in productive wages Rs. 750. So that the price might yield a profit of 20% on the selling price.

8. A factory has three service departments L, M and N and two production departments – X and Y. The following are the expenses allocated and apportioned to the departments as per primary distribution summary.

L	M	N	X	Y
Rs.	Rs.	Rs.	Rs.	Rs.
10,000	8,000	12,000	30,000	40,000

The following additional information is also available on the basis of a detailed analysis made.

	Service departments			Product departments	
	L	M	N	X	Y
L's Service used	–	20%	30%	30%	20%
M's Service used	–	–	40%	30%	30%
N's Service used	–	–	–	60%	40%

Prepare a statement showing apportionment of service department overheads under the step method.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. The following information is available in respect of component D20 :

Maximum stock level		42000 units
Budget consumption	:	Maximum 7500 units per month
		Minimum 4000 units per month
Estimated delivery period	:	Maximum 4 months.
		Minimum 2 months.

You are required to calculate :

(a) Re-order level

(b) Re-order quantity.

10. Calculate the normal and over time wages payable to a workman from the following data :

Days	Hours worked
Monday	8
Tuesday	12
Wednesday	10
Thursday	10
Friday	9
Saturday	4
	53

Normal working hours-8 hours per day; on Saturday-4 hours.

Normal rates Rs. 2 per hour.

Over time rate – upto 9 hours in a day at single rate and over 9 hours in a day at double rate or upto 48 hours in a week at single rate and over 48 hours at double rate, which ever is more beneficial to the workers?

11. Calculate the earnings of 3 workers, A, B and C under Merrick's "Multiple piece rate system", given the following :

Standard production per day : 150 units

Normal piece rate : Re. 0.50 per units

Production of workers on a particular day :

A 120 units

B 140 units

C 160 units.

12. A shop has four new machines, each occupying an equal area of space and costing respectively (A) Rs. 20,000 (B) Rs. 25,000 (C) Rs. 30,000 (D) Rs. 40,000.

The following are the expenses for the year of the machine shop.

	Rs.
Rent	10,000
Rates and water	4,250
Light and heat	3,150
Power	
A	5,100
B	5,000
C	12,000
D	14,500
Administrative expenses	9,500
Running expenses and repairs	20,000

Prepare a statement of machine hour rate for each of the machines presuming 45 hours a week and 50 week in a year; 80% is the utilisation. The machines are expected to last for 10 years, but do not have any scrap value.

13. Ramsons Ltd. produces a product which goes through there processes A, B and C before it is finished and sent to the godown for distribution. From the following details, ascertain the cost of the product at the end of each stage of production.

	Process A	Process B	Process C
	Rs.	Rs.	Rs.
Raw material	10,000	–	–
Other direct materials	30,000	20,000	10,000
Direct wages	10,000	20,000	30,000
Overheads	10,000	8,000	20,000
Output in units	15,000	14,000	17,000
Opening stock (units From previous process)	–	6,000	5,000
Closing stock (units From previous process)	–	5,000	1,000

14. The following extracts on costing information relate to commodity "A" for the year ending 31.3.2009 :

	Rs.
Purchase of raw material	48,000
Direct wages	40,000
Stock on 1.4.2008 of raw materials	8,000
Finished goods 1600 units	6,400
Stock on 31.3.09 of raw materials	8,800
Finished goods 8200 units	–
Works on cost	16,800
Work-in-progress :	
1st April 2008	1,920
31st March 2009	6,400
Office and administrative overheads	3,200
Sales (finished product)	1,20,000

Advertising discount allowed and selling cost are Rs. 0.40 per unit. During the year 25,600 units of commodity were produced.

Calculate cost of production and extend the cost sheet to include profit also so that it may also be called production statement.

15. S.V. Ltd. has furnished you the following information from the financial books for the year ended 31st March 2010 :

Particular	Rs.	Particular	Rs.
To Opening stock		By Sales	
(500 units)	17,500	(10250 units)	7,17,500
To Materials	2,60,000	By Closing stock	
To Wages	1,50,000	(250 units)	12,500
To Gross profit c/d	3,02,500		
	7,30,000		7,30,000
To Factory			
Expenses	94,750	By Goss profit b/d	3,02,500
To Administration	1,06,000	By Interest	
Expenses		Received	250
To Selling		By Rent received	10,000
Expenses	55,000		
To Bad debts	4,000		
To Preliminary			
Expenses	5,000		
To Net profit c/d	48,000		
	3,12,750		3,12,750

The cost sheet shows the cost of materials at Rs. 26 per unit and the labour cost at Rs. 15 per unit. Factory overheads are absorbed at 60% of labour cost and administration overheads at 20% of works cost. Selling expenses are charged at Rs. 6 per unit. The opening stock of finished goods is valued at Rs. 45 per unit.

You are required to prepare :

(a) A statement showing cost and profit as per cost accounts.

(b) A statement showing the reconciliation of profit disclosed in cost accounts with the profit shown in financial accounts.

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DISTANCE EDUCATION

B.B.A. (CS)/B.B.A.(CS)Lateral DEGREE EXAMINATION, DECEMBER 2013.

FINANCIAL SERVICES

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define financial services? Explain its importance.
2. Explain the important functions of finance companies.
3. What is hire purchase financing? Explain its features.
4. Define a mutual fund, Explain various types of mutual funds.
5. What is leasing? Explain any two types of leasing.
6. What do you mean by underwriting? Explain its importance.
7. Explain the various principle of portfolio management.
8. Who is a stock broker? State the important functions of a stock broker.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain Briefly various financial services.
10. Explain the various fund based and non–fund based financial services of commercial banks.
11. Explain the important functions of a merchant banker.

12. What is venture capital? Explain the importance of venture capital financing.

13. What do you mean by 'credit rating'? Explain the various basis considered for credit rating.

14. Define credit card? Explain its advantages and disadvantages to the cardholder.

15. Explain the various strategies involved in financing.